

that the other country needs. But it's not always the case that a country can't produce the necessary goods. Sometimes it's actually cheaper to buy them from another country than make them at home. For example, a country that is mainly agricultural may be able to make manufactured goods such as cars, but have an auto industry that is small and not very efficient. But because its agriculture is productive, it can feed its own people and have enough to sell to another country. At the same time, the other country may be able to make cars more efficiently, keeping production costs low, yet not be able to produce enough food. It would be a mistake for the first country to try to make more cars, taking money and workers away from the farming that it does well. In the words of economist [David Ricardo](#), that country has a "comparative advantage" in agriculture, and does far better to specialize in that.

**... AN ECONOMIST'S CREED
... WOULD SURELY CONTAIN ...
"I ADVOCATE FREE TRADE."**

PAUL KRUGMAN, US ECONOMIST

Protect your assets

International trade is not always seen as a good thing. Exporting goods brings money in but imports must be paid for. If a country is in deficit, spending more on imports than it is receiving for exports, its government may try to restrict imports. It is often possible, for example, to produce the same goods locally, but not as cheaply. To protect producers in their own countries from foreign competition, some governments impose tariffs, which are taxes on